

Palantir Technologies Inc.

PLTR NYSE

Hold	\$168.59 ▼ 6.29%	12M Price Target \$175.00	52-Week Range \$106.37 – \$207.52	Market Cap \$405.28B
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PLTR: Profit-Taking Hits Despite TITAN Win, Bond Yields Bite

WHAT HAPPENED

- PLTR dropped 6.3% today despite genuinely good news — they won the U.S. Army TITAN award moving into production (that's the AI-enabled ground station program for battlefield intelligence). When a stock falls on good news, that's the market telling you it was priced too optimistically going in. This looks like classic profit-taking after the run to \$186.
- Rising global bond yields are the bigger story here. When yields rise, expensive growth stocks get hammered because future profits are worth less in today's dollars — and PLTR trading at ~95x sales is the definition of an expensive growth stock. Add the cluster of insider selling from Buckley and heavy put buying at \$165-170 strikes, and you had smart money bracing for exactly this move.

WHY IT MATTERS

Here's what today really means: PLTR's fundamentals are getting stronger (TITAN production, Zacks upgrade to Strong Buy, CEO's defense AI push) but the stock is losing anyway — that's a valuation problem, not a business problem. The market is essentially saying "great company, wrong price for this interest rate environment." Watch that \$165 level closely — the unusual put activity clustered right there (16,000+ contracts at 2.1x normal open interest) suggests options dealers may be forced to sell more stock if we break it, accelerating the decline. Bigger picture: as long as bond yields keep climbing, every rally in PLTR is a selling opportunity for traders, not a buying opportunity — until yields stabilize or PLTR grows into its multiple.

POLICY & POLITICAL WATCH

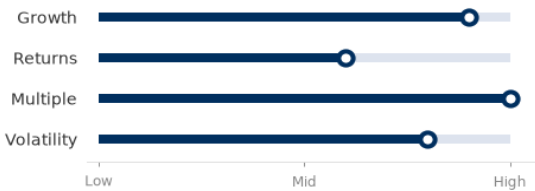
The defense budget is the single most important political variable for PLTR right now — the FY2027 NDAA (National Defense Authorization Act, basically the annual defense spending blueprint) is in markup, and every dollar allocated to "Joint All-Domain Command and Control" and AI-enabled warfare flows toward Palantir's Maven and TITAN programs. Also watch the ongoing debate around federal AI procurement standards — the administration has been pushing "American AI first" language that essentially locks out foreign competitors and favors incumbents like PLTR who already have security clearances. The risk on the horizon: a potential government shutdown fight this fall could delay contract awards and hit Q4 bookings, which would sting a stock priced this richly.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$168.59
12M Price Target	\$175.00
Upside / (Downside)	+3.8%
Market Cap	\$405.28B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.58
FY2027E EPS	\$0.82
Fwd P/E	290.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$172.00	\$150.00
6 Months	\$220.00	\$180.00	\$135.00
1 Year	\$260.00	\$190.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.81%) and Communications (+1.77%) are leading — that's a "risk-on but rotate to cheaper stuff" signal. Energy has been the 5-day winner (+3.98%) as oil catches a bid on Middle East tension and OPEC discipline.

COOLING OFF: High-multiple tech and AI names (where PLTR lives) are the clear losers today — rising global bond yields are compressing every richly-valued growth story simultaneously.

ROTATION WATCH: Money is quietly moving from expensive growth into value/cyclicals and energy — this is the classic "yields up, duration down" trade, and PLTR is one of the longest-duration stocks in the market (most of its value is in profits many years out).

RELATED PLAY: If you like the defense AI theme but want less valuation risk, look at the primes benefiting from the same budget — Lockheed (LMT), Northrop (NOC), or the pure-play defense tech names like Kratos (KTOS) trade at fractions of PLTR's multiple.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Benefiting from the same defense AI tailwind at 18x earnings vs PLTR at 290x — investors rotating to "cheap defense" today.
- KTOS (Kratos Defense): Drone and unmanned systems play catching bids as budget hawks favor lower-cost autonomous systems in the NDAA.

PLTR CONTEXT: PLTR is badly lagging its defense peers today — that's not a Palantir-specific problem, that's a valuation problem. The business is fine; the stock got ahead of itself. When the market is nervous, the most expensive names in a sector always get hit first and hardest.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$150-160 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: Loss of major DoD contract, government shutdown extends, or commercial growth stalls below 40%

Hedging: Buy Sept puts or pair with short position in overvalued AI peer